alertness . . . and vote in sheep-like fashion for whatever the management recommends, no matter how poor the management's record of accomplishment may be." That was true when he wrote those words in 1949; it is no less true today.

Driven by the growing lack of accountability of corporate boards to shareholders, this agency problem permeates corporate governance in three major ways. First is the indifference of the (themselves highly paid) institutional money managers, who in the aggregate now hold effective voting control of corporate America. Next are the conflicts of interest faced by these managers, in which their fiduciary interest in representing the mutual fund shareholders and pension beneficiaries they are duty-bound to serve seems to have been overwhelmed by their financial interest in gathering and managing the assets of these mutual funds and pension funds. And, finally, is the fact that most institutional shareholders no longer practice long-term investing (which logically demands attention to corporate governance issues).They have turned instead to short-term speculation, in which they hold corporate shares for an average of a year or less (which logically leads to indifference about governance issues).

One step that might mitigate all three problems would be to allow nonbinding shareholder votes on executive compensation. Implementation costs would be relatively modest, and it would force the institutional shareholders who own corporate America to act as responsible corporate citizens, to the benefit of our society at large.

Intrinsic Value, Not Stock Price

It's hardly surprising that CEOs managing companies whose stocks have provided higher returns have received systematically higher compensation. After all, given the heavy role played by stock options in compensation packages, it would be little short of astonishing were that not the case. But I take issue with the heavy reliance on stock prices as the principal basis of CEO compensation. The short-term and momentary price of a stock, as we now know, is as illusory